

pending on their gut feel for where the market's headed. That's dangerous. They are too likely to absorb the prevailing mood, which leads to buying when the market's overheated and selling when pessimism reigns and prices are cheap.

Looking for more objective grounds than instinct, timers turn to charts and "indicators"—a packet of economic, business, and market statistics. Some individual investors keep track of such things on their own, but most haven't the time or patience and rely instead on market gurus—their broker's in-house strategist, a newsletter writer, or someone quoted in the morning paper. The first clue that should make you suspect that it's not going to be all that easy to foretell the market's future is that all the prognosticators start with the same material but end up with wildly different scenarios. What data you select and how you weight and massage them can radically change the output. But even at those rare times when most of the seers agree on where the market's headed, it has a perverse habit of galloping off in the opposite direction.

The Past as False Messenger

The reason for this habit is simply that the charts and indicators are all designed to predict what's coming based on what's happened in the past, and past experience is shaky ground upon which to build expectations. Everybody who does market timing has a set of signals he follows because they worked the last time. The trouble comes when they just don't work the next time.

In *The Art of Conjecture*, political philosopher Bertrand de Jouvenel noted that we tend

to postulate that tomorrow will be the same as today; likewise, when we are aware of movement, we assume that tomorrow will differ from today *in the same way* as today differs from yesterday. . . . [Such assumptions] exert a strong sway